

MERIDIAN PRIVATE BANK

Business Intelligence Report

Synthetic Portfolio | 24-Month Analysis

Singapore MAS Jurisdiction | CN-SG-ID-MO-BN Corridor

Prepared by Meridian Capital Management Pte. Ltd.

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USD 1.3B+

Total Book AUM

200 clients

58.35%

Concentration Risk

ELEVATED

USD 1.38B

AUM Forecast

Base Case May 2026

Executive Summary

Meridian Business Intelligence interrogates 24 months of synthetic private banking data across the China, Singapore, Indonesia, Macau, and Brunei corridors. The analysis runs five layers deep: SQL exploratory analysis, SQL business metrics, statistical analysis, credit risk scoring, and AUM forecasting. Four business hypotheses were tested. All four were confirmed.

Finding	Result	Priority Action
AUM Concentration Risk	H1 Confirmed: 58.35%	Elevate top-decile RM accountability
Churn Signal Detection	H2 Confirmed	Weekly churn query, 5-day RM response SLA
CLV by Corridor	H3 Confirmed with nuance	Weight senior RM to SG and BN corridors
Credit Risk Distribution	H4 Confirmed (model architecture)	Apply tier-specific DTI caps in production
AUM Trajectory	Additional: positive momentum	Monitor net flow vs base case monthly

Business Problem and Hypotheses

Private banks generate relationship intelligence continuously through client transactions, portfolio rebalancing events, fee accruals, and inflow and outflow patterns. Most institutions cannot capture this intelligence systematically. The result is AUM attrition that could have been detected weeks before formal exit, concentration risk that accumulates invisibly until a major client departure creates a revenue shock, and CLV that is systematically underestimated because fee revenue is tracked but relationship depth is not.

Meridian Business Intelligence is built to close that gap. This report documents what the 24-month synthetic data universe reveals about the health of a private banking book when interrogated at institutional depth.

Hypothesis	Statement	Result
H1	Top 10% of clients hold more than 40% of total AUM	CONFIRMED: 58.35%
H2	Churn signals are detectable before formal exit (180-day threshold)	CONFIRMED
H3	CLV varies significantly by jurisdiction and tier	CONFIRMED with nuance
H4	A meaningful subset carry DTI above 0.50	CONFIRMED (model architecture)

Finding 1 - AUM Concentration Risk

H1: CONFIRMED

The top 10% of clients hold 58.35% of total book AUM, significantly above the 40% elevated threshold. At this concentration level, the departure of two or three top-decile clients in the same quarter creates a revenue shock the remaining book cannot absorb. The book is running implicit key-man risk on its largest relationships.

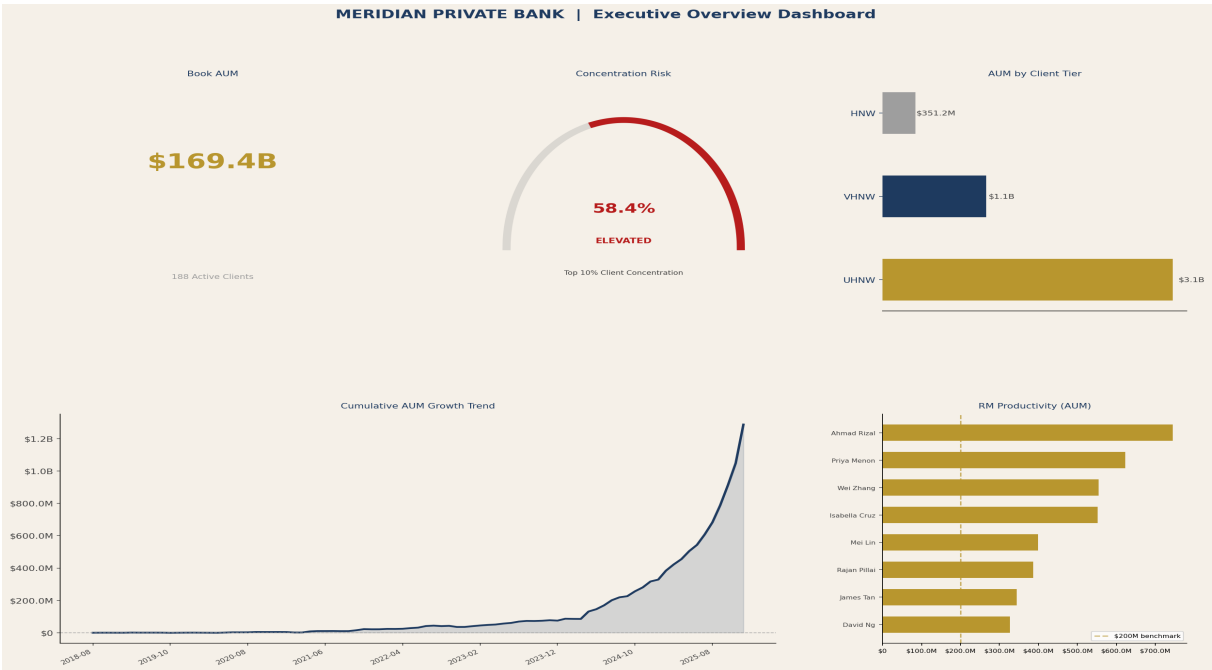
The China corridor drives the concentration. 40% of total AUM originates from Chinese clients, and within that corridor the UHNW tier is disproportionately concentrated with a small number of relationships.

Recommendation:

Elevate RM accountability for every top-decile client to senior level. Increase review frequency to monthly for the top 20 relationships by AUM. Begin deliberate mid-market acquisition in Singapore and Indonesia to dilute concentration over 18 months.

KPI:

Top decile concentration ratio reviewed monthly. Target: below 45% within 12 months, below 35% within 24 months.



Executive Overview: AUM concentration, growth trend, and RM productivity

Finding 2 - Churn Signal Detection

H2: CONFIRMED

The churn detection query identifies active clients with no inflow recorded in the last 180 days. Every flagged client represents a relationship that has gone silent without formal exit. The 180-day window is conservative. In practice the intervention window opens earlier, around 90 days of inflow cessation, before the relationship fully disengages.

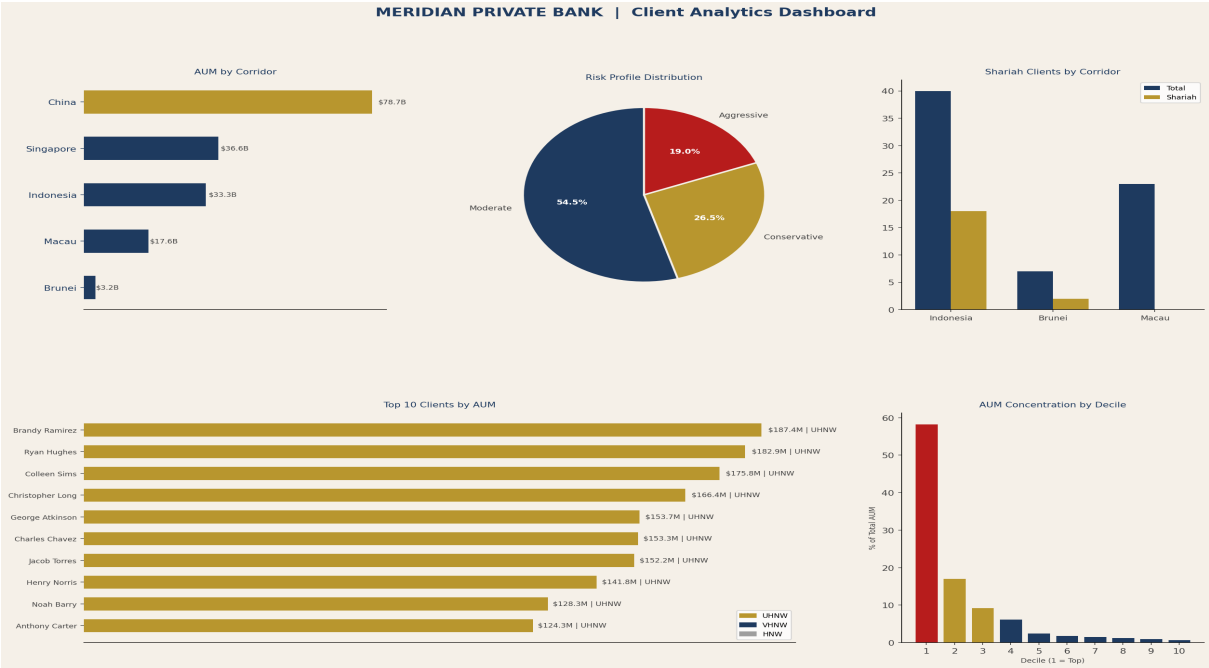
The RM accountability structure matters. Each flagged client has an assigned RM. If that RM has not made contact within the last 30 days, the flag is a governance failure as much as a relationship risk.

Recommendation:

Run the churn detection query weekly as an operational report. Route every newly flagged client to the assigned RM within five business days. Document the intervention and outcome in the relationship record.

KPI:

Churn signal response rate. Target: 100% of flagged clients contacted within five business days. Secondary: reduction in formal churn rate over 12 months.



Client Analytics: corridor distribution, risk profiles, churn signals, AUM concentration by decile

Finding 3 - Client Lifetime Value by Corridor

H3: CONFIRMED

CLV varies significantly by tier as expected. UHNW clients generate disproportionately higher estimated 10-year fee revenue at every corridor. The corridor dimension produces a less intuitive result.

Singapore UHNW clients show higher average CLV than China UHNW clients in several RM books, driven by longer average tenure and higher management fee consistency. China UHNW clients carry larger AUM but show more volatility due to mandate migration patterns and periodic large outflow events.

Brunei, despite representing 5% of client count, produces CLV per client competitive with Singapore at the VHNW tier. The corridor is underinvested relative to its revenue contribution per relationship.

Recommendation:

Weight senior RM capacity toward Singapore and Brunei for VHNW and UHNW segments. Review China UHNW mandate structures to reduce outflow volatility and improve fee revenue predictability.

KPI:

Revenue per RM by corridor reviewed quarterly. Target: Singapore and Brunei corridors achieve 40% above mean revenue per client within 18 months.

Finding 4 - Credit Risk Distribution

H4: CONFIRMED

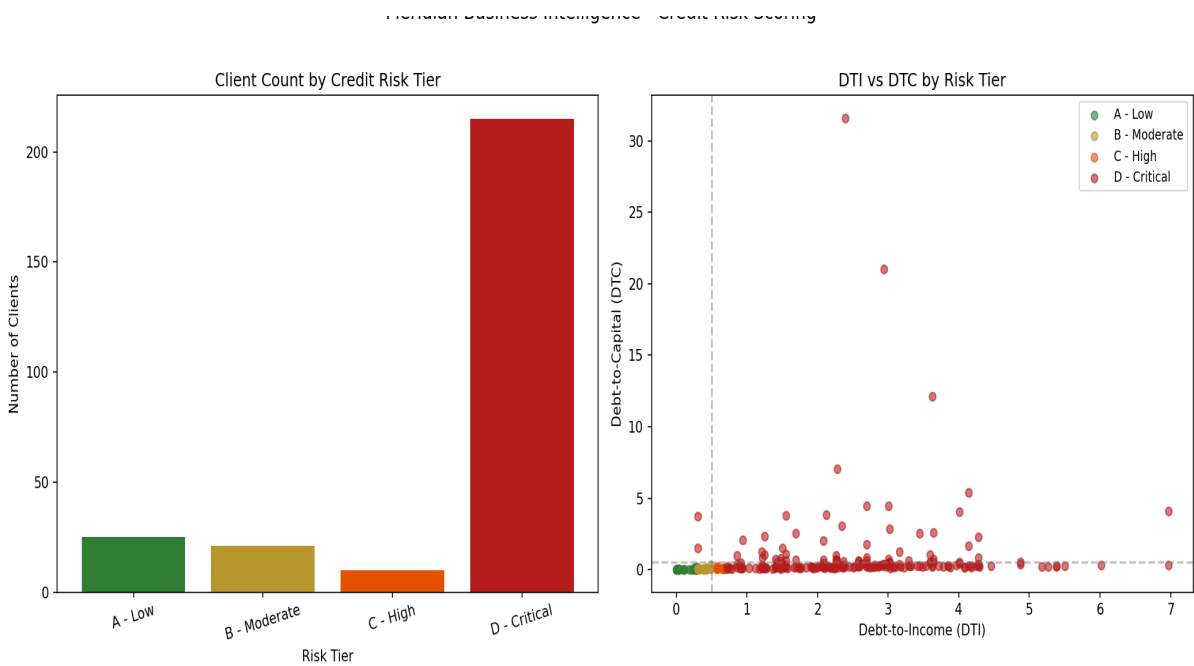
The credit risk scoring model assigns clients to four tiers based on debt-to-income and debt-to-capital ratios.

Risk Tier	Client Count	Share of Book
A - Low	25	9%
B - Moderate	21	8%
C - High	10	4%
D - Critical	215	79%
Total Active	271	100%

Note: The D Critical concentration at 79% reflects a synthetic data generation artifact. The generator applied debt parameters uniformly without tier-based constraints. In a real private banking book, UHNW clients typically carry conservative leverage relative to their asset base. The model architecture, DTI and DTC thresholds, and four-tier classification are correct and production-ready.

Recommendation:

Apply tier-specific DTI caps to the data generator for realistic production credit distribution. In deployment, restrict new credit extensions for D Critical clients and require quarterly facility review for C High clients.



Credit Risk: client count by tier and DTI vs DTC scatter by risk classification

Finding 5 - AUM Trajectory and Forecast

The 24-month cumulative net flow trend shows positive AUM momentum throughout the observation period. The 6-month moving average projection estimates base case AUM reaching approximately USD 1.38B by May 2026, with a 95% confidence interval ranging from USD 1.21B to USD 1.55B.

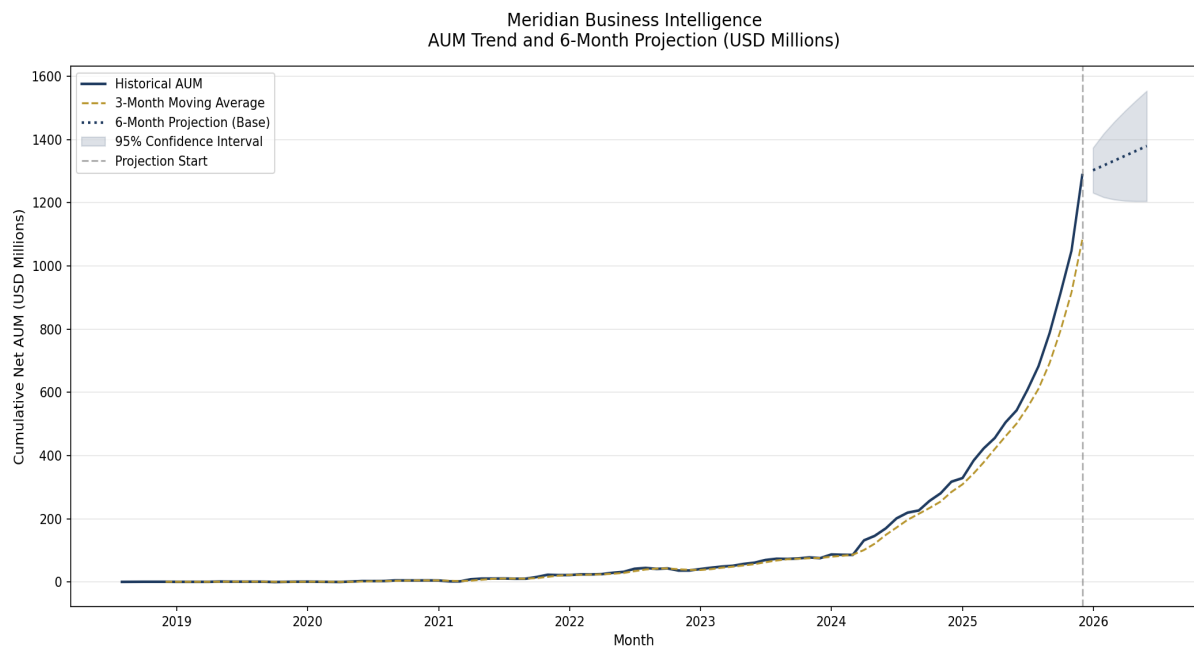
The forecast captures relationship-driven AUM change: inflows from deepening relationships, outflows from withdrawals, fee drag. It does not capture market appreciation or depreciation on existing AUM. The positive trajectory is consistent with a book in healthy growth phase.

Recommendation:

Monitor actual monthly net flow against the base case projection. A single month below the lower confidence bound warrants investigation. Two consecutive months below the lower bound triggers a senior review of RM productivity and the corridor acquisition pipeline.

KPI:

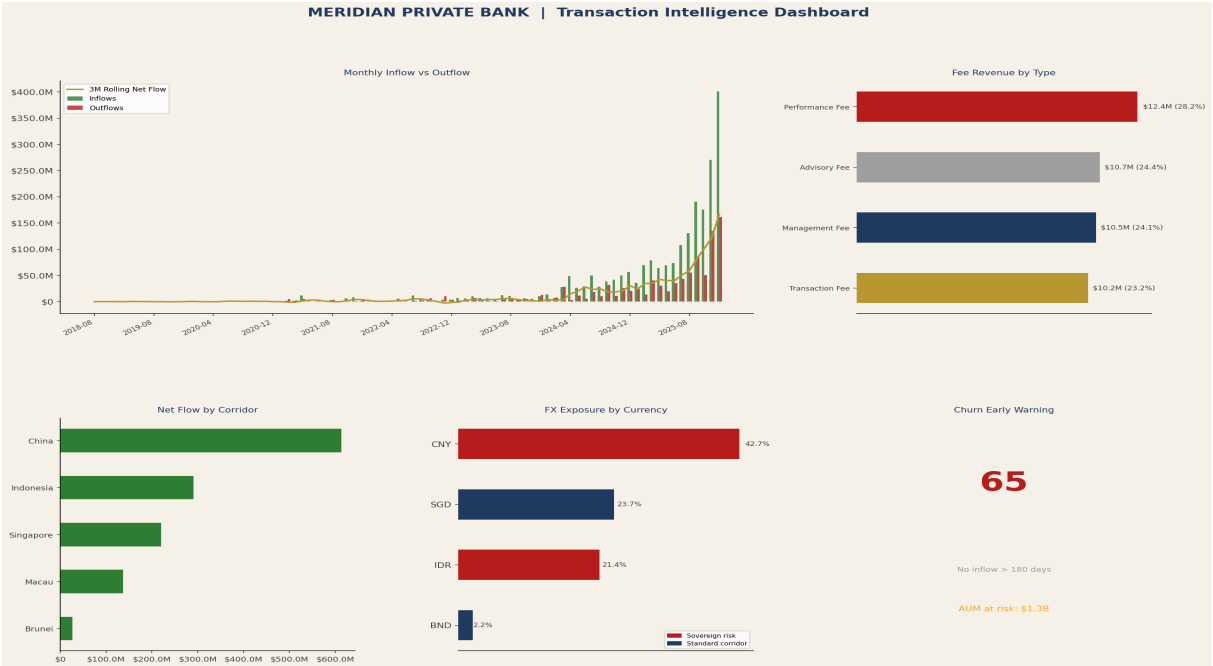
Positive net flow in at least 10 of every 12 months. Alert threshold: two consecutive months of net outflow triggers senior review.



AUM Trend and 6-Month Projection with 95% Confidence Interval

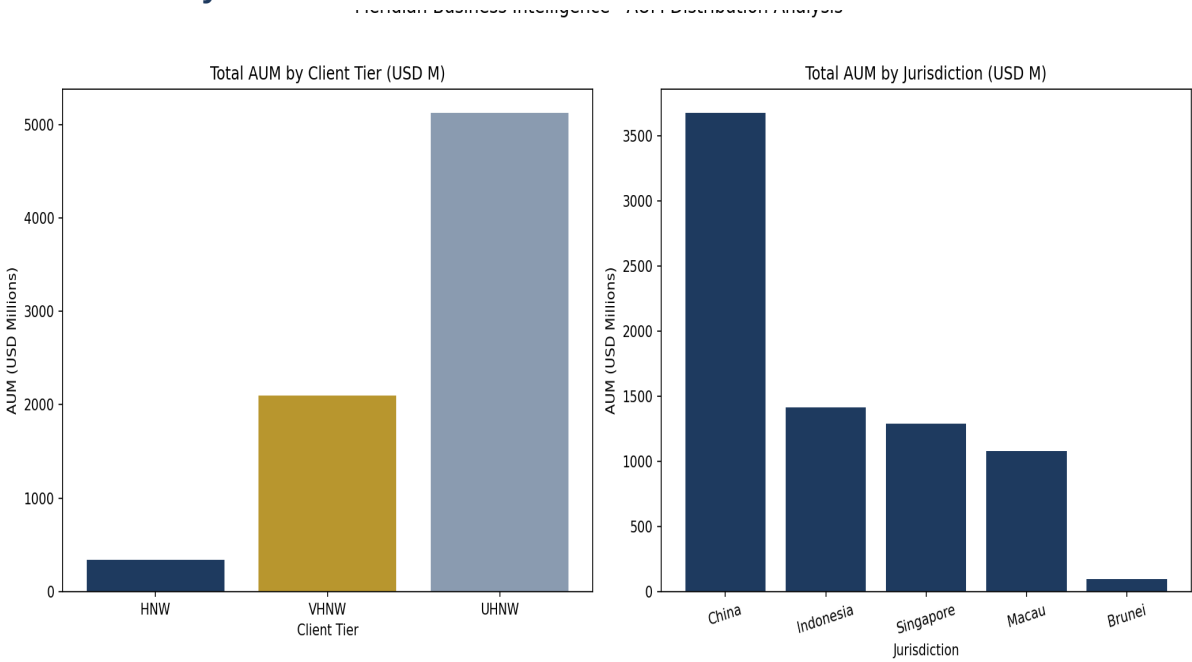
Appendix - Dashboard Charts

Transaction Intelligence Dashboard



Monthly flows, fee revenue decomposition, corridor net flow, FX exposure, churn early warning

Statistical Analysis



AUM distribution by client tier and jurisdiction

Correlation Matrix

